to investors. It also revived a facility to supply dollars directly to state-run oil companies for their import payments and introduced, for the first time, a 20 per cent cash reserve requirement on certain large currency derivative contracts, making such transactions more expensive for banks. No defence since 1991 has involved comparable resources. India is choosing to spend its reserves.

THE COST OF DEFENCE

But headline numbers do not tell the whole story. Some of the decline in reserves reflects lower gold prices, but a larger concern is the RBI's future obligations: forward contracts require it to deliver dollars later, while NRI deposits must be repaid between 2029 and 2031. A report by New Delhi-based LEAP Insights Foundation, *Defending the Rupee*, accounts for these commitments to estimate the reserves effectively available to the RBI—$551.7 billion in August, down from $650.8 billion in February, when the war began.

The pressure is evident in both the cost of currency hedging and government borrowing. With the one-year forward premium at its highest in nearly four years, companies may cut back on hedging because protection has become too expensive, leaving them more exposed if the rupee weakens further. Government bonds, meanwhile, fell for 10 consecutive weeks until late October—their longest losing streak in 30 years—pushing the 10-year yield to 7.47 per cent.

For the finance ministry, the damage is primarily to revenue. Petroleum taxes account for around 12 per cent of the Centre's and states' combined gross tax revenue, says Pinaki Chakraborty, former director of the National Institute of Public Finance and Policy. Every fuel excise cut, therefore, eats into an important source of revenue. A Rs 10 reduction per litre alone is estimated to cost Rs 1.7 lakh crore annually, against a fiscal deficit target of 4.3 per cent of GDP. This is unfamiliar territory for the Narendra Modi government. When it took office in May 2014, Brent crude was around $110 a barrel; two years later, it averaged about $47. The government used the windfall to raise excise duty nine times, more than doubling collections. Now, the reversal in oil prices is a drain on the exchequer.

HOLDING THE RUPEE

↘ Spending reserves: RBI sold a record $53 bn in 2025-26 and continued selling after the US-Iran war began, offloading $24.8 bn in March-May

↘ Raising deposits: Special deposit schemes for NRIs brought in $133 bn. But these deposits must be repaid in dollars between 2029 and 2031

↘ Future commitments: RBI's outstanding commitments to sell dollars at future dates hit a record $239.2 bn in September, up from $200 bn in August

↘ October interventions: RBI raised the repo rate, revived direct dollar supplies to oil PSUs to meet their import needs; introduced a 20% cash reserve requirement on certain large currency derivative contracts

THE AGENDA AHEAD

Economists broadly agree on what went wrong. But they differ on what the RBI should do next. One camp wants the defence to continue. Chakraborty believes inflation should remain the priority and favours an orderly movement in the exchange rate. Charan Singh, a former RBI official who heads the public policy-oriented EGROW Foundation, points out that reserves still cover around 10 months of imports, compared with seven in 2013. He believes the RBI can plan for repayments, as it did in 2016.

Others want the RBI to step back. Arvind Panagariya, chairman of the 16th Finance Commission, argued in May that "100 is just a number, like 99 and 101", warning that continued attempts to defend the rupee could bleed reserves. The International Monetary Fund offered similar advice on October 21. Ahmed El Safty, a former economist at the Central Bank of Egypt, points to Cairo's limited intervention during its currency crisis in early 2026. When a shock persists, he told INDIA TODAY, defending the currency "only invites the market to test you".

A third view is that the exchange rate is a symptom, not the problem. Gopal Krishna Agarwal, the BJP's national spokesperson on economic affairs, says the RBI's mandate doesn't prescribe "any level for the rupee". The balance of payments, he argues, has to be fixed through trade and more competitive manufacturing. Agarwal wants STT and capital gains tax recalibrated, alongside reforms in land and corporate debt markets. Union finance minister Nirmala Sitharaman has said she will consider the tax arguments before the next Union budget. Foreign investors have withdrawn more than Rs 3 lakh crore from Indian equities this year; lower taxes may not offset higher US rates, but could remove an investor grievance.

The dilemma is whether foreign capital must return to stabilise the rupee, or whether depreciation must first make Indian assets cheaper. Much will depend on how the conflict in West Asia unfolds. Iran has identified Gulf energy facilities as potential targets, putting at risk supplies from Iraq, Saudi Arabia, the UAE and Kuwait. If the conflict disrupts supplies, the RBI's dollar window could leave it financing state refiners' purchases at whatever prices the market demands.

Having defended the rupee so visibly, the RBI may find it harder to let it cross the 100 mark without triggering fresh anxiety. In 1991, India had no choice once reserves ran out. Today, intervention is a choice, but each round creates commitments and reduces room for the next shock. The Budget 2027-28, due on February 1 next year, will test the government's response. The task is to steady the currency and make it less dependent on central bank support. ■